Inflation
Definition and Types
* Inflation: A sustained increase in the general price level of goods and services in an economy over a period of time.
* Types of inflation:
+ Demand-pull inflation: Caused by excess demand in the economy, leading to higher prices.
+ Cost-push inflation: Caused by increases in production costs, such as wages and raw materials.
+ Built-in inflation: A persistent level of inflation that becomes embedded in the economy.
+ Hyperinflation: A very high and accelerating rate of inflation, often leading to a breakdown in the economy.
Causes of Inflation
* Demand-pull factors:
- Excess demand in the economy
- Increase in money supply
- Increase in government spending
* Cost-push factors:
- Increase in production costs (wages, raw materials)
- Supply chain disruptions
- Natural disasters
* Monetary factors:
- Increase in money supply
- Expansionary monetary policy
* Fiscal factors:
- Increase in government spending
- Tax cuts
Effects of Inflation
* Positive effects:
- Encourages spending and investment
- Reduces debt burden
* Negative effects:
- Reduces purchasing power
- Increases uncertainty
- Redistributes income from lenders to borrowers
Measuring Inflation
* Consumer Price Index (CPI): Measures the average change in prices of a basket of goods and services.
* Wholesale Price Index (WPI): Measures the average change in prices of goods at the wholesale level.
* GDP Deflator: Measures the average change in prices of all goods and services in the economy.
Inflation in India
* Current inflation rate: 5-6%
* Major causes: Increase in food prices, increase in crude oil prices
* Impact: Reduces purchasing power, increases uncertainty
* Policy response: Monetary policy tightening, fiscal policy adjustments
Examples
* India's inflation rate has been above the RBI's target of 4% for several years, leading to concerns about the impact on the economy.
* The COVID-19 pandemic has led to a surge in inflation in many countries, including India, due to supply chain disruptions and increased demand for essential goods.
PYQ Reference
* "Explain the causes and effects of inflation. (15 marks)" (UPSC Mains 2019)
* "Discuss the role of monetary policy in controlling inflation. (15 marks)" (UPSC Mains 2018)
Answer Writing Tips
* Clearly define inflation and its types
* Explain the causes and effects of inflation
* Use examples to illustrate the impact of inflation on the economy
* Discuss the role of monetary and fiscal policy in controlling inflation

* Use data and statistics to support arguments
Revision Notes
* Inflation is a sustained increase in the general price level of goods and services.
* Demand-pull and cost-push factors are the main causes of inflation.
* Inflation has both positive and negative effects on the economy.
* The RBI uses monetary policy to control inflation.
* Fiscal policy adjustments can also help control inflation.
Key Terms
* Inflation
* Demand-pull inflation
* Cost-push inflation
* Built-in inflation
* Hyperinflation
* Consumer Price Index (CPI)
* Wholesale Price Index (WPI)
* GDP Deflator
* Monetary policy
* Fiscal policy
* RBI
Key Concepts
* Causes of inflation
* Effects of inflation
* Measuring inflation
* Inflation in India
* Policy response to inflation